

Gannett owns 90 daily newspapers, and most of them are the only major dailies in town. Investors who discovered the advantages of exclusive newspaper and cable franchises in the early 1970s were rewarded with a number of tenbaggers as the cable stocks and media stocks got popular on Wall Street.

Any reporter, ad executive, or editor who worked at the *Washington Post* could have seen the profits and the earnings and understood the value of the niche. A newspaper company is a great business for a variety of reasons as well.

Drug companies and chemical companies have niches—products that no one else is allowed to make. It took years for SmithKline to get the patent for Tagamet. Once a patent is approved, all the rival companies with their billions in research dollars can't invade the territory. They have to invent a different drug, prove it is different, and then go through three years of clinical trials before the government will let them sell it. They have to prove that it doesn't kill rats, and most drugs, it seems, do kill rats.

Or perhaps rats aren't as healthy as they used to be. Come to think of it, I once made money on a rat stock—Charles River Breeding Labs. There's a business that turns people off.

Chemical companies have niches in pesticides and herbicides. It's not any easier to get a poison approved than it is to get a cure approved. Once you have a patent and the federal go-ahead on a pesticide or a herbicide, you've got a money machine. Monsanto has several today.

Brand names such as Robitussin or Tylenol, Coca-Cola or Marlboro, are almost as good as niches. It costs a fortune to develop public confidence in a soft drink or a cough medicine. The whole process takes years.

(10) PEOPLE HAVE TO KEEP BUYING IT

I'd rather invest in a company that makes drugs, soft drinks, razor blades, or cigarettes than in a company that makes toys. In the toy industry somebody can make a wonderful doll that every child has to have, but every child gets only one each. Eight months later that product is taken off the shelves to make room for the newest doll the children have to have—manufactured by somebody else.

Why take chances on fickle purchases when there's so much steady business around?

(11) IT'S A USER OF TECHNOLOGY

Instead of investing in computer companies that struggle to survive in an endless price war, why not invest in a company that benefits from the price war—such as Automatic Data Processing? As computers get cheaper, Automatic